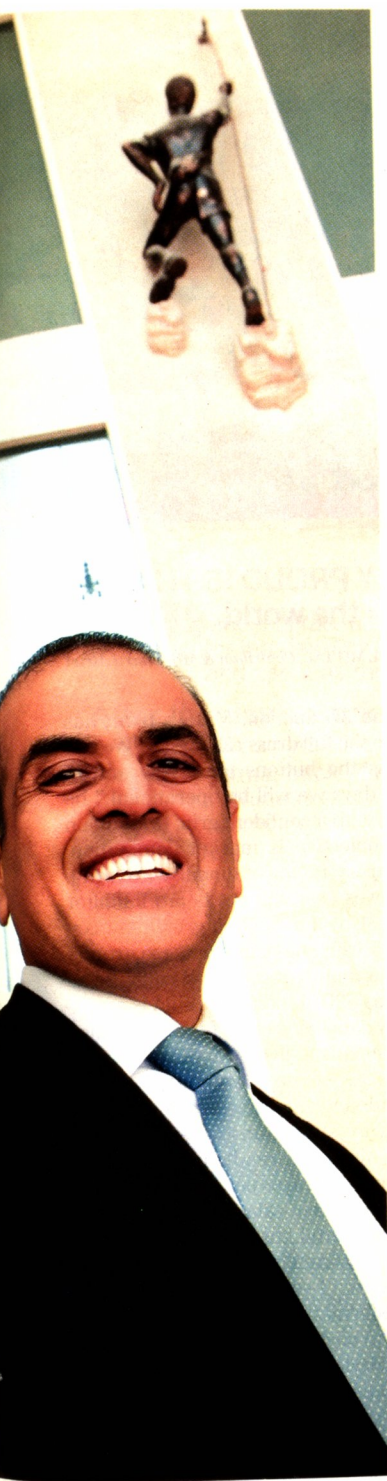
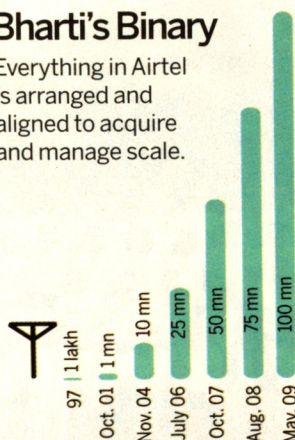




BANDEEP SINGH

Bharti's Binary

Everything in Airtel is arranged and aligned to acquire and manage scale.



Rs 65,000 cr

Total investment across India by Bharti Airtel



1,00,000

No of subscribers added every working day to the Airtel network



1.7 bn min/day

That's how much subscribers talk on the network



280 mn

Number of messages received every day

100 mn

Number of messages sent every day



1.2 mn

Number of retail outlets set up across the country



1.3 mn

Direct and indirect employment generated



Rs 400 cr

Estimated annual earnings from music downloads making Airtel the top music distributor

was only when we touched the 25-million mark that we realised that we could begin thinking about it. In fact, internally we had in 2006 estimated that we would probably touch 100-million subscribers sometime in 2010." At a management level the challenge was to arrange for money, manpower and manage partnerships. Raising capital, forging partnerships with a variety of players from Singapore Telecom to IBM and building a team from the best brands including Xerox, Levers, Coke, BT and Deutsche Telecom, Mittal created a hyper platform for growth. Telecom projects are typically cash guzzlers in the first years. In 2002 while other players hesitated, wondered about the state of the capital market he innovated by pricing his share at Rs 45 through a book-building process and raised Rs 834 crore. At other times Mittal managed to lure and snare a range of cash cows from private equity players like Warburg Pincus to funds to investors like SingTel. He outsourced when required, created divisions when needed and invested in value-added services like few did. Not many would know that Airtel would be the largest music distributor in the country. Asim Ghosh, former managing director of Vodafone Essar believes "Mittal is an intense and terrific competitor because he has the ability to make decisive moves at defining moments".

Success required more than just management and team work. A new business in a new sector, where the policy landscape was pockmarked, needed political navigation skills. When the players were bent under the original licence fee system, Mittal along with other players lobbied for a revenue sharing regime. When funding was critical and other players were tentative Mittal made it a one-point agenda and got the UPA to push for higher FDI—74 per cent—in telecom. Mittal proved to be so adept at managing political minds on both sides of the spectrum that for some time many—himself included—wondered if political entrepreneurship was the next stop. Is it still an option? Mittal waves